

BOWLEY TREND

USE THE CALENDAR TO TIME YOUR TRADES

PART 1:

**LONG-TERM TRENDS
SINCE 1950**





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BEFORE YOU GET STARTED

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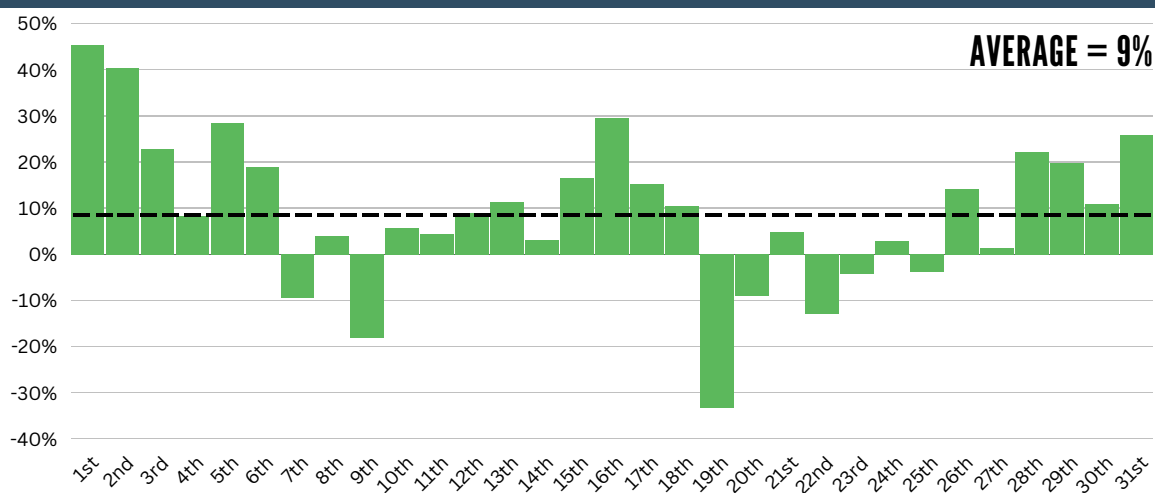
BY CALENDAR DAY

Since 1950, the S&P 500 has gained an average 9% per year. If every calendar day performed equally, there would be a consistent 9% annualized return each numerical day of the month... **but that's far from the case.**

The S&P 500's performance by calendar day fluctuates significantly and often predictably over an average month.

Check out performance by calendar day:

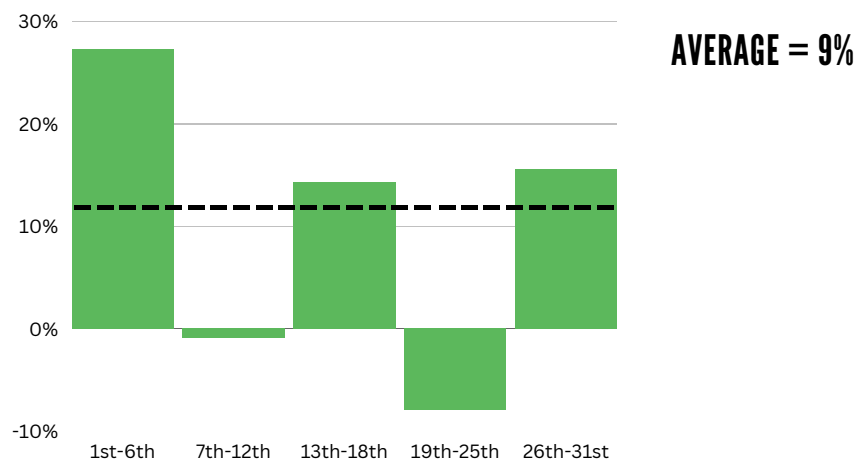
AVERAGE PERFORMANCE BY DAY OF MONTH (S&P 500 SINCE 1950)



Fun Fact: The 26th through the 6th of calendar months - slightly more than 33% of the month - has produced more than 80% of the gains in the S&P 500 since 1950.

On the following page, the days are grouped by week to highlight several key themes.

AVERAGE PERFORMANCE BY GROUPING OF DAYS (S&P 500 SINCE 1950)



Our research, spanning over 70 years of data, clearly illustrates the cyclical nature of a calendar month. Here's what we've uncovered:

Strong weeks closely correspond with *payroll cycles*.

(Weeks 1, 3, and 5)

The market historically trends higher in the weeks highlighted above. These weeks overlap the 1st and the 15th calendar days of each month, which account for significant payroll activity. When employers withhold 401(k) amounts from employees' paychecks, they must send those withholdings to the custodian - typically a brokerage firm. Custodians are legally required to act as directed by employees and invest the funds according to each employee's directive.

The question becomes: Why are there gains prior to the 1st and 15th of each month *before* payroll occurs? It's simple. Wall Street bankers are (1) educated: they know when money flows into the market by way of payroll; (2) incentivized: they're obligated to perform exceptionally for high-profile clients; and (3) opportunistic: to capitalize on the action, they must be ahead of it. We like to call it "legalized frontrunning."

Week 2 closely corresponds with *profit-taking*.

The 7th to 12th performs below-average, but likely does not carry implication beyond profit-taking that naturally follows a strong portion of the month.

Week 4 closely corresponds with *market manipulation*.

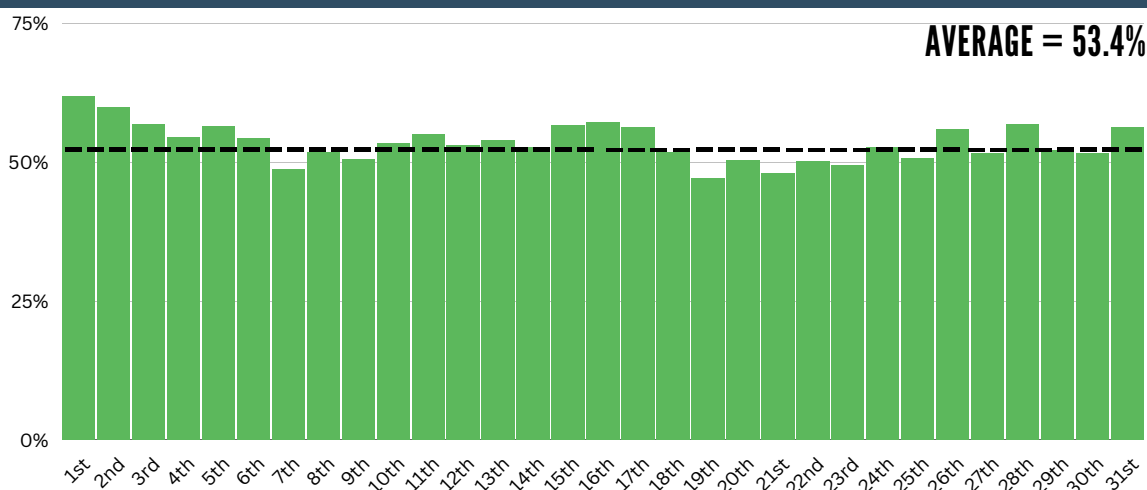
The stock market trends higher over time; i.e., it goes up more frequently than down. We typically approach monthly options expiration week with net in-the-money calls. As such, it behooves market makers to use their own capital to drive stock prices lower, thereby reducing the amount of options premium owed on options-expiration Friday. This selling occasionally carries over into the following week.

On average, the 19th is the poorest performing calendar day of the month. It performs 42% below the average S&P 500 annualized return. The week that follows (20th-25th) performs below average historically, but not quite as dismally.

While there are strong historical tendencies, there is no guarantee of future performance.

As the adage goes: Past performance is not indicative of future results. To illustrate this point, let's look at our next chart:

"UP DAY" PERCENTAGE BY DAY OF MONTH (S&P 500 SINCE 1950)



The S&P 500 has gone up 53.4% of days since 1950, which is used as the benchmark percentage on the previous chart. Here, you'll notice that days within the "strong" weeks (1, 3, and 5) tend to go up more frequently than the "weak" weeks (2 and 4); however, most days stay somewhat close to a flat 50%. So, what does that mean?

In any given month, each calendar day can go up or down. However, the chance of successful trades improves with knowledge of market fluctuations: e.g., **the 1st of the month goes up 15% more often than the 19th of the month**. Using these themes for context may improve trading success.

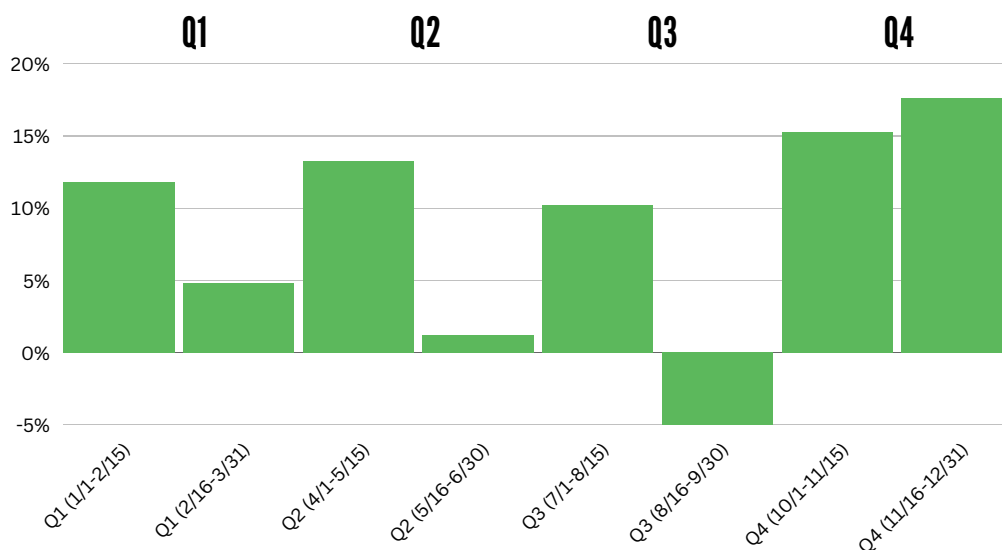
Let's zoom out: We've covered market tendencies over the course of a calendar month, but what about an entire year?

BY QUARTER OF YEAR

Myth: "Go away in May."

Fact: It's time to fly in mid-July.

QUARTERLY: 1ST VS. 2ND HALF PERFORMANCE (S&P 500 SINCE 1950)



The stock market performs well the first two weeks of every calendar quarter: from the 1st to the 15th of January, April, July, and October. Why? These weeks lead into quarterly earnings. Earnings are historically strong; thus, the market tends to buy in anticipation of good news.

Once the quarterly mid-point is reached (the 15th of February, May, August, and November), performance starts to decline. By this time, both earnings season and the anticipation of it have ended. "Buy on rumor" becomes "sell on news." The only exception to this occurs in the fourth quarter, which is bullish throughout.

Contrary to the popular saying, "Go Away in May," **the worst period of the year is from July 17th through September 26th.**

WHAT'S NEXT?

At EarningBeats, our motto is *"Better Timing, Better Trades."* This report is only a sample of the extensive research we perform.

In fact, we offer **Bowley Trend Part 2: Secular Bull Market (Last Decade)**. You'll learn how the S&P 500 and 16 popular stocks:

- Perform on average each calendar day during the secular bull market, from the 1st to 31st of the month
- How average daily performance of the S&P 500 stacks up against 16 popular stocks, including AAPL, NVDA, TSLA, and more
- How seasonal themes impact individual stocks
- Which stocks lead - and lag - every calendar day of the month

[INSTANT DOWNLOAD: BOWLEY TREND PART 2](#)

Happy trading!

Your EarningsBeats Team